

DivineSide — Niche Brief

Exam-Prep & Coaching Businesses · Why This Niche · What We Build First

Internal document · June 2026

1. The Niche — Exam-Prep & Coaching Businesses

- **Domain edge:** Mayank lived inside this world as a student. Has a relative who runs a coaching institute — free prototype environment, no cold outreach required.
- **Structural fit:** Pure information business. Every interaction is structured, reusable context. Running the business and accumulating AIOS intelligence are the same activity.
- **Fragmented tooling:** Coaches use 4–7 disconnected tools. No unified AI system exists.
- **Buyer already pays:** Classplus, Teachmint, Meritto, Proctur all have paying customers. The software budget is established.
- **Target market:** Global. India used as prototype ground — existing connections, fast access. Dream customers are US/UK coaching businesses where pricing power is 5–10x higher.

2. The Market — How Many Businesses Exist?

68,181 Coaching institutes in India 89% single-owner operations	19,881 Tutoring businesses in the USA growing at 23.4% CAGR	EUR 7B Europe tutoring market by 2032 from EUR 2.3B in 2024	7.5M Students in coaching in India alone sector worth ₹50,000 crore
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Prototype in India, scale to the West. 68,181 institutes, 89% single-owner, all running manually. We have access. The same system in the US and UK commands 5–10x the revenue.

3. Why an Information Business Is the Best First Vertical

Every business generates data. The question is whether that data accumulates into intelligence — or just piles up as records. Coaching is the only business type where the answer is unambiguously yes, and here's why.

Business type	Data quality	Compounds over time?	AIOS fit
Physical product	Transactions, inventory. What moved, not why.	No	Weak
Service business	Appointments, invoices. Core expertise stays in people's heads.	Barely	Moderate
SaaS	Rich usage data — but buyers build their own intelligence layers.	Yes — wrong buyer	Wrong market
Information business	Every interaction is structured, reusable, causal context.	Yes — deeply	Best fit

In a coaching institute, one doubt asked by a student is simultaneously: a teaching quality signal, a curriculum gap indicator, a student profile data point, a predictor of exam performance, and a reusable pattern across future students. The information IS the product. That makes every operational action a data point the closed loop can learn from.

What becomes possible after 6 months of accumulated context:

- The system identifies a student heading for dropout 14 days before the parent calls — from the combination of 9 days without a doubt session, a declining mock score, and single-word parent replies. It doesn't send a template. It reasons through the cause from that student's specific history and prepares a targeted intervention.
- Two batches, same instructor, same content — Batch A scores 78%, Batch B scores 71%. The system finds why: students who did practice problems immediately after each lesson were 3.2x less likely to need follow-up doubt sessions on the same topic. It reorganises the next batch's schedule accordingly.
- Eight dropouts in a batch — each classified differently: one needs a refund and a remedial offer, one needs a batch change on Saturdays, one is high-potential and should be upsold to 1:1 coaching. Three different responses from the same context layer. No template produces this.

The compounding moat: After 6 months, this system knows more about how to teach this institute's students than any generic platform. The institute can't replicate it without that history. A competitor

can't copy it without starting from scratch. Intelligence accumulated over time is the moat — not features.

4. The Competition — The Honest Picture

Nobody is building what we're building. A closed-loop AI OS for coaching business operations does not exist. YC said it publicly. The research confirms it.

Risely AI (YC S25) — frequently cited as competition. It is not. Risely targets universities and colleges only — deploying agents for admissions counselors, academic advisors, and donor management inside Salesforce and Canvas. It ignores the 68,000+ small coaching institutes with no CRM infrastructure. It proves the thesis is venture-backed. It is not a competitor.

The point solutions that exist: Every tool in this space is either storage-and-display or single-function automation. Meritto owns the enrolment funnel. Classplus and Proctur store records and send reminders. Teachmint generates content for teachers. Testmate generates exam papers. TrackFee optimises fee reminder timing. GoHighLevel runs template-based email sequences.

Read their own language: "*keeps a record*," "*sends reminders*," "*generates content*." None of them connect fee data to performance data to communication patterns to curriculum outcomes. None reason across functions. None learn from what they observe. They are isolated tools. We are building the system that connects them.

The gap: The coaching institute uses 4–7 tools that each do one thing in isolation. No product connects them into a single intelligence layer that watches the whole business, reasons across all the data, and acts. That is what we build.

5. The Entry Workflows — What We Actually Build First

We enter through **automation and agents** — not through pitching AIOS or the closed loop. AIOS is the moat. It is not the sales pitch and it is not the entry point. Clients don't buy infrastructure. They buy a solved problem.

We walk in the door fixing one painful function. We deliver it. We earn trust. The AIOS intelligence layer builds underneath — they experience it getting smarter over time without needing to understand why. The entry workflows are the door. AIOS is what lives behind it.

The principle: Each entry workflow automates something a coaching owner does manually today, saves them measurable time or money, and as a by-product begins accumulating the context layer that makes AIOS possible. We don't mention AIOS. We deliver the workflow. The intelligence emerges.

The four functions of a coaching business

A coaching institute has four business functions. Each has automatable workflows. We pick the most painful one first.

What exists today Teachmint's EduAI does AI PPT generation and quiz creation. Testmate generates question papers for Indian exams in 60 seconds. MagicSchool creates slides from documents. These are isolated content tools — a teacher uses them manually, one at a time.

What's missing

No automation

No batch awareness

Not connected to performance

Workflows we build ① **Presentation automation** — Teacher records the topic or pastes the lesson plan. Agent generates a complete, formatted slide deck (structure, visuals brief, key points, student exercises) in the institute's template. Teacher reviews in 5 minutes instead of building from scratch in 2 hours. Eliminates the single biggest time drain in class preparation.

② **Question paper generation connected to batch performance** — Not just "generate a paper on Chapter 5." Instead: agent pulls which topics the current batch has attempted, which ones have the lowest scores, and generates a paper that targets those specific weak areas — with difficulty calibrated to where the batch currently sits. The paper is intelligent because it knows the batch. A generic tool like Testmate generates from a syllabus. This generates from real performance data.

③ **Auto-notes from class recordings** — Record or transcribe the class → agent generates structured student notes, highlights key concepts, creates a revision summary. Teacher sends it to students same day instead of spending the evening typing it up.

Why it beats what exists Teachmint and Testmate generate content from a prompt or a syllabus. Our agent generates from actual batch data — what this specific group of students is struggling with right now. The output is better because the context is richer.

What exists today Meritto is strong here — AI voice calls (Mio AI), lead allocation, intelligent nudges. GoHighLevel handles enquiry sequences. This function is the most automated of the four. Entering here means competing directly with mature, well-funded tools.

What's missing

No batch recommendation

No post-enrollment intelligence

Workflows we build ① **Batch recommendation agent** — When a student enquires, the agent doesn't just book them into the next available batch. It asks 3 questions (current level, target exam, available times), cross-references past student profiles in those batches, and recommends the specific batch where students with this profile have historically performed best. Turns a booking into an intelligent placement. No existing tool does this.

② **Post-enrolment onboarding sequence** — Student enrolls → agent automatically sends: welcome message, batch schedule, first assignment brief, parent introduction message, fee receipt, study material link. All personalised to the specific batch they joined. Currently done manually by admin staff over 2–3 days.

Entry recommendation Do NOT lead with sales automation as the entry workflow. Meritto and GoHighLevel already sell this. Use it as a second or third workflow once we've established trust through Product or Customer Service.

What exists today Generic email/SMS automation for announcements. Coaches post manually on social media when they remember. No tool systematically turns student results into a marketing engine. This is the most underserved function of the four.

What's missing

No result-to-content automation

No testimonial collection system

No social proof pipeline

Workflows we build ① **Result announcement engine** — Student passes exam or achieves a milestone → agent automatically generates a personalised congratulations post (with the student's name, score, and institute branding), a parent notification, and a social media caption ready to post. Owner approves with one click instead of spending 30 minutes per result writing announcements.

② **Testimonial collection at the right moment** — Agent monitors student performance trajectory and flags the optimal moment to request a testimonial — after a strong mock result, after a batch completes, after a parent messages positively. Sends a specific, personalised request at that moment (not a generic "please leave us a review" blast). Collects the response and formats it for website or social use.

③ **Topper campaign automation** — When a student achieves a top result, agent builds: result graphic (with student photo brief and score), parent quote request, WhatsApp/Instagram caption series, Google review request. Everything the owner would manually create over a week — done in minutes, queued for approval.

Why this is the entry point candidate Zero competition. Immediate visible output the owner can see and share. No existing tool does this. Results and social proof are the primary driver of new enrolments for coaching institutes — fixing this is fixing revenue, not just saving time.

What exists today Classplus and Proctur send automated fee reminders and attendance notifications. TrackFee optimises payment timing. Basic WhatsApp automation exists. But all communication is one-way broadcasting — not intelligent, not responsive, not contextual.

What's missing

No contextual parent updates

No doubt-handling at scale

No intelligent escalation

Workflows we build ① **Intelligent parent update agent** — Instead of broadcasting the same "your child attended class today" to all parents, the agent generates a personalised weekly update for each parent: what their child covered, how they performed relative to their own past performance (not the class rank, which discourages), what the next week looks like, and one specific encouragement point. Parents stop calling the institute for updates. Admin time on parent calls drops significantly.

② **Doubt queue management** — Students submit doubts via WhatsApp or a form. Agent categorises by topic, urgency, and whether it's a common doubt (already answered for other students) or a new one. Routes common doubts to a curated answer instantly. Batches new doubts for the next doubt session by topic cluster. Teacher walks into the session knowing exactly what to address in what order. Currently this is 45 minutes of manual sorting before every session.

③ **Fee follow-up with context** — Not just "your fee is due" at a fixed time. Agent knows this parent always pays late, always responds to a WhatsApp message rather than an SMS, and paid within 2 days of a personal message last time. Sends the right message, in the right format, at the right time, referencing the student's recent progress to make the request feel personal rather than administrative.

Why it matters

Staff currently spend 5+ hours per week answering repetitive parent questions and chasing fees. This is the most immediately recoverable time in the business. Fast to build, fast to demonstrate value.

Which workflow do we start with?

Workflow	Competition level	Visibility of impact	Time to build	Recommended order
Marketing — Result announcement engine	None	Immediate — owner sees and shares the output	Fast	1st — lead with this
Product — Presentation automation	Partial (generic tools)	High — teacher saves 2hrs/class	Fast	2nd
Customer Service — Parent update agent	Low	High — parents notice immediately	Medium	3rd
Product — Performance-aware paper generation	Low	High — but requires data first	Medium	4th
Sales — Batch recommendation	High (Meritto)	Medium	Medium	Later

The entry point: Lead with the result announcement engine. It has zero competition, immediate visible output the owner can share publicly, and directly connects to the thing coaching institutes care about most — new enrolments driven by social proof. It also begins building the context layer (student performance data, parent communication patterns) that every subsequent workflow and eventually AIOS needs. The first workflow is not just a deliverable. It is the foundation.

AIOS is the moat, not the pitch. We walk in the door fixing one painful function. The intelligence layer builds underneath. They experience it getting smarter. That is the product.